

Know Your Salary Structure

1. Eligibility

All white-collar permanent and fixed-term employees of STELLANTIS INDIA entities.

2. Process Owner(s)

HR Department

3. Policy and Procedure

Stellantis India is committed to providing a compensation and benefits framework that supports our business strategy and employee value proposition. Our compensation philosophy aims to:

- **Attract and retain** high-calibre talent with the skills and capabilities to drive sustainable business growth.
- **Recognise and reward** employees for their performance by providing compensation and benefits that are competitive, performance-driven, and aligned with both individual contribution and Company performance.
- **Maintain a compensation framework** that is transparent, fair, equitable, and aligned with applicable statutory requirements, while supporting the Company's evolving compensation philosophy and the principles of the India Labour Codes.

4. Purpose

The objective is to help employees understand the salary structure and design the flexi salary components to avail the tax benefits within the company-defined guidelines and process.

5. Salary Structure

Components	Monthly (INR)	Annual (INR)
Basic Salary (A)		
Flexi Salary (B)		
House Rent Allowance (C)		
Leave Travel Allowance (D)		
Conveyance Allowance (E)		
National Pension Scheme (Optional) (F)		
Base Salary (G) = (A+B+C+D+E+F)		
Variable Performance Pay Target (H)		
Total Target Cash (I = G+H)		
Employer's Contribution to Provident Fund (J)		
Gratuity* (K)		
Social Security Contributions (L = J+K)		
Total Cost to Company (M = I + L)		

5.1 Basic Salary

The basic salary is a fixed portion of the total base salary and fully taxable in the hands of the employee.

5.2 Flexi Salary Plan

The flexi salary plan will enable employees to choose from an array of benefits or allowances to suit individual preferences and to optimise earnings within the prescribed guidelines and limits set by the Company. The flexi salary reimbursements are restricted to the amount incurred by the employee.

5.3 House Rent Allowance (HRA)

House Rent Allowance (HRA) is a monthly salary component provided to support employees' housing expenses, and it's paid monthly. Under the revised salary structure, HRA acts as the **balancing component** within your Annual Base Salary. Certain **optional benefits** and **flexi salary selections** are adjusted through the HRA component while keeping employees' overall Annual Base Salary unchanged. These include:

- **Corporate National Pension System (NPS):** Employees who opt for Corporate NPS will have the selected NPS contribution amount **deducted** from their HRA component. This adjustment only changes the allocation of salary components and does not affect the overall Annual Base Salary.
- **Conveyance:** Employees who are provided with a Company Car, enrolled in the Employee Car Lease Scheme, or claim any car-related reimbursements under Employee-Owned Car under the flexi salary plan are **not eligible** to receive the Conveyance Allowance. In such cases, the corresponding conveyance allowance amount will be **added** to the HRA component.
- **Employee Car Lease Monthly Rental:** For Employees enrolled in the Employee Car Lease Scheme, the monthly car lease rental shall be **deducted** against the HRA component of the salary structure. Any applicable vehicle subsidy will not form part of this rental adjustment.

These adjustments only change the allocation of salary components within the salary structure. Your overall **Annual Base Salary remains unchanged**.

Employees may claim HRA tax exemption under the old tax regime, subject to the provisions of the prevailing income tax provisions and submission of required documents, where applicable.

The exemption is restricted to the least of the prescribed limits as applicable under the prevailing income tax rules

- 50% of Basic salary in case the house property is situated in cities Mumbai, Delhi, Kolkata, Chennai, Ahmedabad, Bengaluru, Hyderabad, or Pune and 40% of Basic salary for other cities.
- HRA received by the employee.
- Excess of actual rent paid over 10% of Basic salary (Actual rental paid - 10% of Basic Salary).

For detailed eligibility criteria, exemption conditions, and the required documentation, please refer to the HRA Guidelines section of this document.

5.4 Leave Travel Allowance (LTA)

Leave Travel Allowance (LTA) is provided to support eligible travel expenses incurred by an employee while on leave for travel within India. LTA is paid as a fixed monthly component and forms part of the employee's Annual Base Salary.

LTA may be eligible for tax exemption only under the old tax regime, subject to the provisions of the prevailing Income Tax Act, applicable tax rules and the Company's LTA guidelines. Tax exemption is available only upon submission of eligible travel claims and supporting documents. For detailed eligibility criteria, claim conditions, and claim procedures, please refer to the LTA Guidelines section of this document.

5.5 Conveyance

Conveyance Allowance is a monthly salary component and is paid every month. Employees who are provided with a Company Car, enrolled in the Employee Car Lease Scheme, or claim any car-related reimbursements under Employee-Owned Car under the flexi salary plan are not eligible to receive the Conveyance Allowance.

In such cases, the Conveyance Allowance amount will be **added** to the **HRA component**. This adjustment only changes the allocation of salary components within the salary structure and does not affect the employee's Annual Base Salary.

5.6 National Pension Scheme (NPS) (Optional)

Employees are eligible to enroll in the National Pension System (NPS) as per the Company's policy. Participation in NPS is voluntary, and employees may choose to contribute:

Up to **14%** under the new tax regime
Up to **10%** under the old tax regime,
subject to applicable laws, regulations and Company policy as amended from time to time.

Any NPS contribution selected by the employee will be adjusted within the employee's **Annual Base Salary** and **deducted** from the **HRA component** of the salary structure.

Refer to the NPS Guidelines section of this document for more details.

5.7 Employer's Contribution to Provident Fund (PF)

Provident Fund is a statutory social security benefit. Employees will be enrolled as members of the Provident Fund Scheme and shall be governed by the Company's policy and applicable statutory provisions, including the Code on Social Security, 2020, and any related rules, regulations, or amendments issued thereunder from time to time.

5.8 Gratuity*

Gratuity is provided in accordance with applicable statutory provisions and the Company's gratuity trust rules. The amount shown is an estimated cost provision made by the Company for compensation planning purposes and does not represent the gratuity benefit payable to the employee. Actual gratuity eligibility and payout will be determined in accordance with applicable laws and regulations in force at the time of separation from employment, **subject to the maximum limit prescribed under applicable law.**

6. Guiding Principles – Flexi Salary Plan Components

- Employees are allowed to allocate or declare the flexi salary components in the payroll portal either at the beginning of the **financial year**, or at the time of **salary revision** or at the **time of joining**, subject to the maximum permissible limit. The calendar followed for the flexi salary plan is the **financial year, from April to March**. The flexi salary amount allocated will be prorated as per the effective date communicated for the existing employees and the new hires, as per the joining date during the financial year.
- Any changes to the selection or modification to the flexi salary components other than the above-said period would not be allowed during the year.
- All monthly allowances, such as House rent allowance, Child education allowance, Child hostel allowance, Conveyance, LTA and Special allowance, are paid out monthly without any bills. However, the supporting documents and receipts, along with the payment proofs, are to be submitted during tax proof submission. Special Allowance and Conveyance are fully taxable; hence, no receipts are required.
- All the reimbursement components under the flexi salary plan, such as telephone bill, professional development scheme, mobile handset reimbursement, car – fuel & maintenance, driver salary, books & periodicals, etc., will be set aside from the monthly payout and shall be processed only upon submission of bills. Employees would have to provide bills to obtain a tax benefit and have the amount paid out along with the monthly salary. Refer to “**payment type**” below to understand the nature of the flexi-salary components.

- Employees will not be able to claim monthly reimbursement in excess of prorated eligibility. The payout will be calculated as per the accumulated eligibility.
- Timeline to submit the flexi salary reimbursement bills is allowed up to the **15th of every month** in the payroll portal, except for March due to the financial year closing. The due date for March will be **12th**. The submitted bills and proofs shall be validated by the payroll service provider in the respective month's payroll.
- Refer to the **“Documents Required”** section carefully to learn more about the rules and document proofs required for the reimbursements listed below.
- The **handwritten bills and cash payments are not accepted**, and the reimbursements will be **rejected** in case the supporting proofs in the **“Documents Required”** section are not submitted or are incomplete. Kindly note that the submission of forged, fabricated, or tampered bills as proof of expense for the flexi salary components will result in immediate, strict disciplinary action/termination.
- All the reimbursements should be submitted with supporting **proof of payment receipt**.
- In case an employee opts for a flexi salary component and does not submit the bills during the financial year (April to March), such unclaimed flexi salary component would be fully taxed and paid at the **end of the financial year, along with the March payroll**.
- All Reimbursement claims submitted should be within the financial year period – **1st April to 31st Mar**.
- **Voluntary Provident Fund** contributions are allowed to be declared either at the time of joining or at the beginning of the financial year, or at the time of salary revision.
- **Voluntary NPS** contributions are allowed to be declared only at the beginning of the financial year.
- All the components, including salary structures, are governed by the Company's policies and statutory regulations, and are subject to change as per the prevailing rules.
- The Company may, at its sole discretion, alter, amend, or delete any of these benefits at any time to comply with statutory provisions. Any applicable taxes or additional costs against these benefits will be recovered or withheld by the employee.

7. Salary Component Limits and Tax Treatment

The table below sets out the nature, payment type, maximum permissible limits, and tax treatment of the applicable salary components. Please refer to the **Documents Required** section for the eligibility criteria, supporting documentation requirements, and detailed rules applicable to each component.

Salary Component	Nature & Payment type	Max Limits (Applicable to all grade levels)	Exemption Old Tax Regime	Exemption New Tax Regime
Leave Travel Allowance (LTA)	Fixed - paid monthly	15% of the Basic Salary per annum. (Refer to the detailed rules in the document section)	Yes	NA
Child Education Allowance	Fixed - paid monthly	Fixed amount INR 36,000 per annum per child, and a maximum of 2 children.	Yes	NA
Child Hostel Allowance	Fixed - paid monthly	Fixed amount INR 108,000 per annum per child, and a maximum of 2 children.	Yes	NA
Meal Vouchers	Fixed monthly amount loaded to the meal card	Maximum amount INR 105,600 per annum. <i>(Not applicable to employees permanently based out of Tiruvallur & Hosur plant, as the Company provides subsidised meals to the employees in the canteen).</i>	Yes	Yes* (refer to the documents section)
Books & Periodicals Reimbursement	Reimbursement - paid on submission of bills	Maximum up to INR 30,000 per annum <i>(Refer to the detailed rules in the document section)</i>	Yes	NA
Professional Development Reimbursement	Reimbursement - paid on submission of bills	Maximum up to INR 2,00,000 per annum (Refer to the detailed rules in the document section)	Yes	NA

Salary Component	Nature & Payment type	Max Limits (Applicable to all grade levels)	Exemption Old Tax Regime	Exemption New Tax Regime
Telephone Bill Reimbursement	Reimbursement - paid on submission of bills	Maximum up to INR 24,000 per annum. <i>(Limited to one postpaid mobile connection, one Landline/broadband connection allowed; invoice should be in the employee's name).</i>	Yes	Yes
Employer-Owned Movable Asset - Laptop / Computers/ Tablet	Reimbursement - paid on submission of bills	Maximum up to INR 2,00,000 per annum Frequency of reimbursement is one time in a period of 36 months in a financial year, limited to any one item; <i>the invoice should capture the employee's name, C/O Company entity name (Mandatory). Refer to the detailed rules in the document section.</i>	Yes	Yes
Mobile Handset Reimbursement	Reimbursement - paid on submission of bills	Maximum up to INR 1,00,000 per annum Frequency of reimbursement is once in a period of 12 months in a financial year, limited to one mobile . <i>(The invoice should capture the employee's name, C/O Company Entity name (Mandatory). Refer to the detailed rules in the document section.</i>	Yes	Yes

Salary Component	Nature & Payment type	Max Limits (Applicable to all grade levels)	Exemption Old Tax Regime	Exemption New Tax Regime
National Pension Scheme (Corporate)	Monthly contribution – remitted through the pension service provider to the employee's PRAN account.	Maximum up to 14% of basic salary per annum for employees opting for the New tax regime. Maximum up to 10% of basic salary per annum for employees opting for the old tax regime. <i>Note: Employer's contributions to the provident fund and Corporate NPS beyond Rs 7.5 lakh would be taxable. (Refer to the detailed rules in the document section)</i>	Yes	Yes
Employee-Owned Car Fuel & maintenance Reimbursement	Reimbursement - paid on submission of bills	Maximum up to INR 60,000 for 1.6 CC and below or Electric vehicle - Above 1.6 CC - INR 84,000 per annum. <i>RC copy (registered in the employee's name) is mandatory - one-time submission</i> <i>Applicable only to an employee-owned car</i>	Yes	Yes

Salary Component	Nature & Payment type	Max Limits (Applicable to all grade levels)	Exemption Old Tax Regime	Exemption New Tax Regime
Company-Owned / Leased Car – Fuel Reimbursement	Reimbursement - paid on submission of bills	Maximum up to INR 2,40,000 per annum <i>(Applicable to employees eligible for Company-assigned car, and if there is no fuel reimbursement/fuel card provided by the Company)</i> <i>Any perquisite tax arising out of the company-owned car fuel benefits will be borne by the employee as per the prevailing Income Tax Act.</i> <i>(Refer to the detailed rules in the document section)</i>	Yes	Yes
Company-Owned / Leased Car – Driver Reimbursement (Applicable only for General Managers and Directors)	Reimbursement - paid on submission of bills	Maximum up to INR 3,00,000 per annum <i>(Applicable to employees at General Managers and Directors, and if there is no driver salary reimbursement provided by the Company.)</i> <i>Any perquisite tax arising out of the Company owned car – driver's salary benefits will be borne by the employee as per the prevailing Income Tax Act.</i> <i>(Refer to the detailed rules in the document section)</i>	Yes	Yes

Salary Component	Nature & Payment type	Max Limits (Applicable to all grade levels)	Exemption Old Tax Regime	Exemption New Tax Regime
Employee Leased Car – Fuel Reimbursement	Reimbursement - paid on submission of bills	Maximum up to INR 2,40,000 per annum <i>(Applicable to employees who opted for Employee Leased Car, and if there is no fuel reimbursement/fuel card provided by the Company) Any perquisite tax arising out of the Employee Leased Car fuel benefits will be borne by the employee as per the prevailing Income Tax Act. (Refer to the detailed rules in the document section).</i>	Yes	Yes
Employee Leased Car – Maintenance Reimbursement	Reimbursement - paid on submission of bills	Maximum up to INR 3,60,000 per annum <i>(Applicable to employees who opted for Employee Leased Car) Any perquisite tax arising out of the Employee Leased Car fuel benefits will be borne by the employee as per the prevailing Income Tax Act. (Refer to the detailed rules in the document section).</i>	Yes	Yes
Employee Leased Car – Driver Reimbursement (Applicable only for General Managers and Directors)	Reimbursement - paid on submission of bills	Maximum up to INR 3,00,000 per annum <i>(Applicable to employees at General Managers and Directors, and if there is no driver salary reimbursement provided by the Company.) Any perquisite tax arising out of the Employee Leased Car – driver salary benefits will be borne by the employee as per the prevailing Income tax act. (Refer to the detailed rules in the document section)</i>	Yes	Yes

8. Documents Required:

8.1 House Rent Allowance (HRA)

Nature	HRA is an allowance granted to meet the housing costs of the employee.
Frequency of payment	Monthly
Requirement of bills/ documents for payment	Yes, to be submitted along with the tax proofs.
Nature of bills/ documents	- The employee should furnish a lease agreement between the employee and the landlord, properly witnessed, stamped, and notarized for all employees, along with monthly rental receipts. If the period of the lease deed is more than 11 months, it should be registered under the Registration Act. - The address of the employee given to the company, and as per the lease deed, should be the same. - A revenue stamp is mandatory if the rental amount is more than Rs 5000/- in a month. - Employee is required to disclose their relationship with the landlord in Form-124. The employee would need to furnish rent receipts, including the following: - Signed Rent receipts for all the months issued by the landlord, (should contain rent paid for the period, Name and signature of the landlord, full address of the property) - Valid PAN of the landlord is mandatory if the monthly rent exceeds INR 8,333. - Where the rent payment exceeds INR 50,000 per month, the employee is responsible for collecting the proof of tax payment or tax deducted from the landlord. - Employees paying rent exceeding INR 100,000 per annum are mandatorily required to produce evidence/proof of rent receipt.

Timeline for submission of bills	- Rental Agreement for the period 01 April to 31 December to be submitted in December as per the communicated timelines during the tax proof submission period. Refer to the communications that will be sent to all employees during tax proof submission in Nov / Dec. - The future rental receipts amount due for payment period Jan, Feb, and Mar should be submitted along with the “Future Proof Self-declaration” in the prescribed format if the exemption is claimed for the mentioned period.
Taxability	Least of the following is exempt in the hands of the employee: <i>40% of salary (50% in case the house is situated in Mumbai, Delhi, Kolkata, Chennai, Ahmedabad, Bengaluru, Hyderabad, and Pune).</i> <i>Actual HRA received.</i> <i>Excess of actual rent paid over 10% of salary. (Actual rent - 10% of basic salary)</i> HRA exemption would not be available if the employee resides: - in his own house; or - in a house for which he does not incur any rent (this could cover instances where the house is available to an individual even without payment of rent). - HRA exemption may be availed only for the period during which the employee occupies the house during the relevant tax year. - HRA Benefit and Interest on Self Occupied House Property cannot be claimed if both are in the same city. If possession of the property is in the current financial year, then he can claim HRA up to the date of possession. In this case, you must submit the declaration for claiming both HRA & Housing Loan Interest. Claiming both HRA and interest on housing loan for self-occupied property is generally not permitted. Please note that rent paid to relatives / related party leases may be prone to scrutiny, especially at lower levels by the tax authorities. Therefore, such rent arrangements are discouraged. However, the above prescribed exemption would not be available for employees opting for the new tax regime.

8.2 Leave Travel Allowance (LTA)

Nature	Employees are provided with LTA to cover their travel expenses during vacations in India. The employees would be eligible to claim LTA only if they avail of 3 days of privilege leave.
Frequency of payment	Monthly
Requirement of bills/ documents for payment	Yes, for tax exemption
Nature of bills/ documents	Employees should furnish the original bills of travel, which relate to the financial year under consideration: • In case of air travel, an air ticket and a boarding pass. • In case of train travel, the train ticket. • In case of bus travel or other modes of transport, the bus ticket bills. • In case of travel by own transport, petrol & toll bills will be required. However, the exemption cannot exceed either the bus or train fare, as applicable. • In case of e-tickets (either air, bus, or rail), it should be certified to be true by the employee. In such cases, the relevant authorities generally attest such e-tickets before or during such travel. It would be advisable to collect such attested e-tickets. • Approved Leave request from the system to be submitted along with the travel bills. <i>LTA Claim Form and 12BB</i> downloaded from the reimbursement submission page to be provided along with the travel receipts.
Timeline for submission of bills	On or before the 15th of every month in the payroll portal, except for March. The due date for March will be the 12 th due to the financial year closing.

Tax liability	• LTA granted to an employee to travel on leave, along with his family, to any place in India, is exempt in respect of two journeys in a block of four calendar years. • Block Years: Jan 2026 to Dec 2029 • However, if an employee has not availed an exemption of LTA during any of the specified four-year block periods on one of the two permitted occasions, or both occasions, then the exemption can be claimed in the calendar year immediately following that block. • The exemption is restricted to the actual amount of expenditure incurred for such travel which in turn is strictly limited to expenses on air fare (economy fare of the national carrier by the shortest route), rail fare (air-conditioned first-class rail fare by the shortest route) and bus fare (first class or deluxe class fare on such transport by the shortest route) only and is only available for journeys performed within India. • In cases where there is no recognised public transport available, and no rates are prescribed by the Directorate of Transport of the respective State or any neighboring State, reimbursement will be calculated at INR 30 per kilometer based on the shortest route of the journey • The exemption shall not be available if the family members are travelling separately without the employee who is not on leave. • The exemption will not be available to more than two surviving children of an individual born after 1 October 1998, except in the case of multiple births after one child. In case of travel to multiple destinations covered in one trip, the eligibility will be the shortest route to the place of the furthest destination travelled. • Proof of payment should be submitted; cash payments are not accepted. Exemption will be allowed to the extent of the bills submitted. However, the above prescribed exemption would not be available for employees opting for the new tax regime.
----------------------	---

8.3 Children's Education Allowance (CEA)

Nature	CEA is provided to the employees to meet the educational expenses for the children.
Frequency of payment	Monthly
Requirement of bills/ documents for payment	Yes
Nature of bills/ documents	Tuition fee receipts along with payment proof.
Timeline for submission of bills	To be submitted in December as per the communicated timelines during the tax proof submission period.
Taxability	Exempt to the extent of INR 3000 per month per child to a maximum of two children only. However, the above prescribed exemption would not be available for employees opting for the new tax regime.

8.4 Children's Hostel Allowance (CHA)

Nature	CHA is provided to the employees to meet the education hostel expenses for the children. Applicable only if children are staying in a hostel.
Frequency of payment	Monthly
Requirement of bills/ documents for payment	Yes
Nature of bills/ documents	Hostel fee receipts along with payment proof.
Timeline for submission of bills	To be submitted in December as per the communicated timelines during the tax proof submission period.
Taxability	Exempt to the extent of INR 9000 per month per child to a maximum of two children only. However, the above-prescribed exemption would not be available for employees opting for the new tax regime.

8.5 Meal Vouchers

Nature	A meal card is given to the employees to meet their food expenses. Not applicable to employees permanently based out of the Tiruvallur & Hosur plant, as the Company provides subsidised meals to the employees in the canteen.
Frequency of payment	Monthly, the amount will be loaded to the meal card.
Requirement of bills/ documents for payment	Not applicable.
Nature of bills/ documents	Not applicable.
Timeline for submission of bills	Not applicable
Taxability	Meal allowance has been extended to the new tax regime, effective FY 2026–27. Exemption will be allowed for both the old and new tax regimes. Any subsequent notifications, circulars, clarifications, or amendments issued by the Income Tax authorities shall be applied accordingly, and the tax treatment of such benefits will be updated in line with prevailing regulations. *Meal allowance provided by the Company shall be governed by applicable Income Tax laws and rules, as amended from time to time.

8.6 Books and Periodicals

Nature	To meet the expenditure of professional books, periodicals, and professional subscriptions that employees may use to further develop skills/knowledge in their roles.
Frequency of payment	Monthly, payable upon submission of bills
Requirement of bills/ documents for payment	Yes
Nature of bills/ documents	Employees should furnish the original bills that relate to the financial year under consideration.

	- Such professional books, periodicals, bills, and professional subscriptions should be only in the name of the employee, along with the payment proofs. Cash payments are not accepted. - Magazines related to the nature of our industry will be considered.
Timeline for submission of bills	On or before the 15th of every month in the payroll portal, except for March. The due date for March will be the 12 th due to the financial year closing.
Taxability	Exemption will be allowed to the extent of the bills submitted. However, the above prescribed exemption would not be available for employees opting for the new tax regime.

8.7 Professional Development

Nature	Professional development reimbursement is granted to an employee for encouraging the academic, research and training pursuits in educational and research institutions as approved by the company, subject to Technical and Managerial courses. Such fees may be claimed as a reimbursement, and such courses should eventually add value to the organisation.
Frequency of payment	Monthly, payable upon submission of bills
Requirement of bills/ documents for payment	Yes, the invoice/receipts should be in the employee's name
Nature of bills/ documents	- The original invoice or tuition fee receipts (with registered GST number) would need to be furnished by the employee along with the payment proofs and should pertain to the current financial year. - Cost of books, journals, newspapers, and any kind of transportation charges for attending these courses or stationery or other items required to pursue these courses are not allowed. - Payments of fees should be made using debit/credit cards or any other online mode of transaction only. - A copy of proof of payment should be submitted (i.e. debit/ credit card slips or copy of bank/ card statement). Cash payments are not accepted - Payments should be made in India and Indian currency
Timeline for submission of bills	On or before the 15th of every month in the payroll portal, except for March. The due date for March will be the 12 th due to the financial year closing.
Tax liability	Exemption will be allowed to the extent of the bills submitted. However, the above prescribed exemption would not be available for employees opting for the new tax regime.

8.8 Telephone Bill Reimbursement

Nature	Post-paid Mobile connection, Telephone / Broadband bill expenses incurred by the employee are reimbursed by the employer.
Frequency of payment	Monthly, payable upon submission of bills.
Requirement of bills/ documents for payment	Yes
Nature of bills/ documents	• Employees should furnish the post-paid mobile connection, telephone broadband bills that relate to the financial year under consideration. • Such post-paid mobile connection, telephone/broadband bills should be in the name of the employee. Cash payments are not accepted. • Only one post-paid mobile connection, one landline/broadband connection registered in the employee's name will be considered. • No dual tax exemptions / reimbursements are allowed on mobile & internet broadband connections under flexi salary plan in case the Company is already settling the invoice directly to the service provider or reimbursing the expenses to the employee over and above the salary, such invoices should not be claimed nor allowed for tax exemptions under flexi salary plan.
Timeline for submission of bills	On or before the 15th of every month in the payroll portal, except for March. The due date for March will be the 12 th due to the financial year closing.
Tax liability	Exemption will be allowed to the extent of the bills submitted for both the old and new tax regimes.

8.9 Mobile handset - Reimbursement & employer-owned movable assets – laptops/ Computers/tablets

Nature	The cost of a mobile handset is reimbursed to the employee by the employer. The cost of the movable asset (Laptop / Computer / Tablet) is reimbursed to the employee by the employer.
---------------	---

Frequency of payment	Payable upon submission of bills based on the accumulated eligibility. • Mobile - One handset in a period of 12 months (Financial year – April to March) • Laptop / Computers / Tablet – Any one item in a period of 36 months (Financial year – April to March)
Requirement of bills/ documents for payment	Yes, along with the employee's name, and C/O Company name (mandatory).
Nature of bills/ documents	• The original purchase invoice (with registered GST number) would need to be furnished by the employee. • The invoice needs to relate to the financial year under consideration. • Purchase should be made in India and Indian currency. • No computer or mobile accessories can be claimed; however, devices such as an external keyboard, mouse, headset, or charger can be claimed only along with the handset & asset original invoice, and accessory claims will not be considered if purchased separately. • The purchase invoice should be in the name of the employee, along with the Company entity name (Mandatory). <i>Eg, Employee name, c/o Stellantis Technology Centre India Private Limited</i> • The names of the legal entities are mentioned below: - ▪ <i>Stellantis Engineering India Private Limited</i> ▪ <i>Stellantis India Private Limited</i> ▪ <i>Stellantis Automobiles India Private Limited</i> ▪ <i>Stellantis Technology Centre India Private Limited</i> ▪ <i>Stellantis Avtec Powertrain India Private Limited</i> • Payments for purchases should be made using debit/credit cards or any other online mode of transaction only. A copy of proof of payment should be submitted (i.e. debit/ credit card slips or copy of the bank/ card statement). Cash payments are not accepted.
Timeline for submission of bills	On or before the 15th of every month in the payroll portal, except for March. The due date for March will be the 12th due to the financial year closing.
Tax liability	Exemption will be allowed to the extent of the bills submitted for both the old and new tax regimes.

8.10 National Pension Scheme

Nature	National Pension System (NPS) is a scheme launched by the Government of India which allows citizens of India to effectively plan for retirement through safe and reasonable market-based returns. NPS is a voluntary and long-term investment plan for retirement under the purview of the Pension Fund Regulatory and Development Authority (PFRDA) and the Central Government. An employee can contribute monthly to the pension account during their working life, and at the time of retirement, the employee can withdraw a part of the NPS corpus in a lump sum and use the remaining corpus to buy annuity to secure their retired life. Employees who opts for NPS need to update the active Permanent Retirement Account Number (PRAN) in the payroll vendor portal.
Frequency of payment	The NPS amount opted by the employee under the flexi plan declaration will be deducted and paid to the employee's (PRAN) account by the corporate monthly under the Corporate NPS model.
Requirement of bills/ documents for payment	Not Applicable.
Nature of bills/ documents	Not Applicable. The tax exemptions for the NPS contributions made through the corporation will be taken into consideration by default in the tax computation by the payroll team. No submissions required from the employee for the Corporate NPS.
Timeline for submission of bills	Not Applicable
Registration of NPS	For information, refer to the NPS trust portal [https://www.npstrust.org.in/] - For NPS registration, Select Protean, formerly known as NSDL, for all entities except Stellantis Avtec Powertrain India Private Limited - To register, use the link below and Select Protean->Apply as Corporate. https://www.axisbank.com/retail/investment/national-pension-system - For Stellantis Avtec Powertrain India Private Limited entity, Select KFintech, formerly known as Karvy.

	To register, use the link below and Select KFintech->Apply as Corporate. https://www.axisbank.com/retail/investment/national-pension-system
--	--

8.11 Employee Company-Owned Car – Fuel / EV Charges / Maintenance

Nature	Reimbursement for the use of an employee-owned car, including expenses towards fuel, maintenance, electric vehicle (EV) charging, insurance.
Frequency of payment	Monthly, payable upon submission of bills
Requirement of bills/ documents for payment	Yes
Nature of bills/ documents	Fuel & Maintenance - RC copy of Car (Car should be registered in the employee's name): One-time submission - Fuel bills & receipts in respect of expenses incurred towards repairs, insurance will be considered. - Parking and toll charges will not be processed. - For EV cars, employees can claim expenses towards EV charges maintenance and insurance as per applicable income tax rules. - Reimbursement of charging expenses will be allowed only for clearly identifiable EV charging costs related to the vehicle. Household electricity bills or similar utility bills will not be accepted as valid proof. Claims must be supported by separate invoices, metered data, or other documentation that clearly bifurcates electricity used for vehicle charging. Reimbursement will be processed only where such supporting evidence is provided. - Proof of payment should be submitted; cash payments are not accepted.
Timeline for submission of bills	On or before the 15th of every month in the payroll portal, except for March. The due date for March will be the 12th due to the financial year closing.
Tax liability	Tax is exempted up to, Fuel expense maximum upto INR 5,000 per month in case the cubic capacity of the engine of the car does not exceed 1.6 cubic litres and for electric vehicles.

	Fuel expense of maximum upto INR 7,000 per month in case the cubic capacity of the engine of the car exceeds 1.6 cubic litres. Exemption will be allowed to the extent of the bills submitted for both the old and new tax regimes.
--	---

8.12 Company-Owned or leased Car – Fuel & Maintenance, and Driver Salary Reimbursement

Nature	Reimbursement for use of the Company-owned car, including fuel expense, electric vehicle (EV) charging and the driver's salary
Frequency of payment	Monthly, payable upon submission of bills
Requirement of bills/ documents for payment	Yes
Nature of bills/ documents	Fuel & Maintenance - RC copy of Car – One-time submission. - Fuel bills & receipts in respect of expenses incurred towards repairs, insurance will be considered. - Parking and toll charges will not be processed. - For EV cars, employees can claim expenses towards EV charges, maintenance and insurance as per applicable income tax rules. - Reimbursement of charging expenses will be allowed only for clearly identifiable EV charging costs related to the vehicle. Household electricity bills or similar utility bills will not be accepted as valid proof. Claims must be supported by separate invoices, metered data, or other documentation that clearly bifurcates electricity used for vehicle charging. Reimbursement will be processed only where such supporting evidence is provided. - Proof of payment should be submitted; cash payments are not accepted. Driver Salary - Applicable only to General Managers and Directors. - Original Driver salary receipt containing the driver's signature and the amount paid to the driver. - Proof of payment should be submitted; cash payments are not accepted. - A copy of the employee's driver's license (One-time submission)
Timeline for submission of bills	On or before the 15th of every month in the payroll portal, except for March. The due date for March will be the 12 th due to the financial year closing.
Tax liability	Tax is exempted up to,

	- Fuel expense / Maintenance of INR 20,000 per month - The driver's salary of INR 25,000 per month would be exempt Exemption will be allowed to the extent of the bills submitted for both the old and new tax regimes. Any perquisite tax arising out of the company-owned car, fuel & driver salary benefits will be borne by the employee.
--	--

8.13 Employee Leased Car – Fuel & Maintenance, and Driver Salary Reimbursement

Nature	Reimbursement for use of employee-leased cars, including fuel expense, electric vehicle (EV) charging, maintenance expense, insurance, and driver's salary.
Frequency of payment	Monthly, payable upon submission of bills.
Requirement of bills/ documents for payment	Yes
Nature of bills/ documents	Fuel Reimbursement - RC copy of Car – One-time submission - Fuel bills & receipts in respect of expenses incurred will be considered. - Parking and toll charges will not be processed. - For EV cars, employees can claim expenses towards EV charges, maintenance and insurance as per applicable income tax rules. - Reimbursement of charging expenses will be allowed only for clearly identifiable EV charging costs related to the vehicle. Household electricity bills or similar utility bills will not be accepted as valid proof. Claims must be supported by separate invoices, metered data, or other documentation that clearly bifurcates electricity used for vehicle charging. Reimbursement will be processed only where such supporting evidence is provided. - Proof of payment should be submitted; cash payments are not accepted Driver Salary - Applicable only to General Managers and Directors. - Original Driver salary receipt containing the driver's signature and the amount paid to the driver.

	• Proof of payment should be submitted; cash payments are not accepted. A copy of the employee's driver's license (One-time submission) Car Maintenance • Expenses on repairs, insurance renewals, and maintenance, including extended warranty & annual maintenance packages, will be considered • Handwritten bills & Cash payments are not accepted. Proof of payment should be submitted
Timeline for submission of bills	On or before the 15th of every month in the payroll portal, except for March. The due date for March will be the 12th due to the financial year closing.
Tax liability	Tax is exempted up to, • Fuel expense of INR 20,000 per month • Car Maintenance of INR 30,000 per month • Driver's salary of INR 25,000 per month Exemption will be allowed to the extent of the bills submitted for both the old and new tax regimes. Any perquisite tax arising out of the company-owned car, fuel & driver salary benefits will be borne by the employee.

8.14 Special Allowance

Nature	Special allowance is the balance amount of the flexi salary component. (i.e.) Total flexi salary is less than the sum of the other flexi salary components
Frequency of payment	Monthly
Requirement of bills/ documents for payment	Not applicable
Nature of bills/ documents	Not applicable
Timeline for submission of bills	Not applicable
Tax liability	Special Allowance would be fully taxable

Modification / Withdrawal

At the sole discretion of management, the policy can be modified in whatsoever manner or can be completely/ partially withdrawn at any time.

9. Income Tax Guidelines

9.1 Voluntary NPS and Voluntary Provident Fund

Voluntary NPS	Voluntary NPS individual contribution will not form a part of the flexi salary component. Employees can avail themselves of an additional tax exemption up to INR 50,000 by contributing towards individual voluntary NPS u/s 124(3) (previously 80ccd), applicable only for the old tax regime. • The voluntary NPS individual contribution of INR 50,000 per annum can be routed through payroll in equal instalments, subject to the employee allocation at the beginning of the financial year (Apr to Mar); no changes are allowed during the year. • New hires joining during the financial year can opt for the voluntary NPS starting from the 2nd financial year. However, the new hires can make the self-contributions directly and submit the receipts along with the other tax proofs to avail the tax exemptions for the 1st financial year
Voluntary VPF	• Voluntary Provident Fund (VPF) is a voluntary fund contribution from the employee towards the Provident Fund account. • This contribution is beyond the 12% contribution by an employee towards the EPF. • Employees can contribute a maximum up to 88% of their basic salary. • Employees can avail tax exemption Sections 123 (Previously 80c), which is applicable only for the old tax regime.

9.2 Tax Exemption – New Tax Regime

- In the New tax regime, the following exemptions on investments (as applicable) are ONLY exempted
- Standard deduction of INR 75,000
- Employer contribution to NPS under Section 124 (3) (previously 80CCD (2)).
- Gratuity and leave encashment exemptions, as per applicable Income Tax provisions (applicable at the time of separation or retirement)
- Other eligible flexi benefits, as outlined in this document in Section 6.0

9.3 Perquisites

Irrespective of the tax regime opted, perquisites will be valued and taxed in accordance with Rule 15 of the Income Tax Rules and other applicable Income Tax guidelines as amended from time to time

9.3.1. Retiral's Perquisite

Employer contributions to Provident Fund, Superannuation Fund, and Corporate NPS exceeding **INR 7.5 lakhs per annum** will be treated as taxable perquisites

9.3.2. Gift Perquisite

Any gift voucher paid to the employee exceeding **INR 15,000** during the financial year will be considered as a gift perquisite and will be added to your Taxable income and taxed

9.3.3. Equity / ESPP Perquisite

Shares granted with a discount, or any employer matching contribution, or free shares will be treated as perquisite income.

9.3.4. Car Perquisite –

- The table below represents the car perquisite charges based on the car category opted
- Employees using their own car will not be subject to perquisite taxes
- In case an employee moves from an own car to a company-provided owned/leased or employee lease car, the applicable flexi limits will be applied as per guidelines, and perquisite charges will be effective from the month of allocation

Car Perquisite	Perquisites per month		
	EV / <=1.6 CC	>1.6 CC	Driver
Employee-Owned Car	NA	NA	NA
Company-Owned Car / Leased Car	INR 5,000	INR 7,000	INR 3,000
Employee Leased Car	INR 5,000	INR 7,000	INR 3,000

9.4 Income tax Rates – FY 2026-27

New tax Regime

Income From	Income To	Tax Rate	Surcharge Rate	Educational Cess on Tax & Surcharge
0	4,00,000	Nil	Nil	Nil
4,00,001	8,00,000	5%	Nil	4%
8,00,001	12,00,000	10%	Nil	4%
12,00,001	16,00,000	15%	Nil	4%
16,00,001	20,00,000	20%	Nil	4%
20,00,001	24,00,000	25%	Nil	4%
24,00,001	50,00,000	30%	Nil	4%
50,00,001	1,00,00,000	30%	10%	4%
1,00,00,001	2,00,00,000	30%	15%	4%
2,00,00,001	above	30%	25%	4%

Old tax Regime

Income From	Income To	Tax Rate	Surcharge Rate	Educational Cess on Tax & Surcharge
0	2,50,000	Nil	Nil	Nil
2,50,001	5,00,000	5%	Nil	4%
5,00,001	10,00,000	20%	Nil	4%
10,00,001	50,00,000	30%	Nil	4%
50,00,001	1,00,00,000	30%	10%	4%
1,00,00,001	2,00,00,000	30%	15%	4%
2,00,00,001	5,00,00,000	30%	25%	4%
5,00,00,001	Above	30%	37%	4%

Note:

Income tax rules and regulations are subject to change. The Company will comply with the prevailing rules as per notifications issued by the relevant authorities from time to time. Any resulting tax impact will be borne by the employees in accordance with the applicable rules.